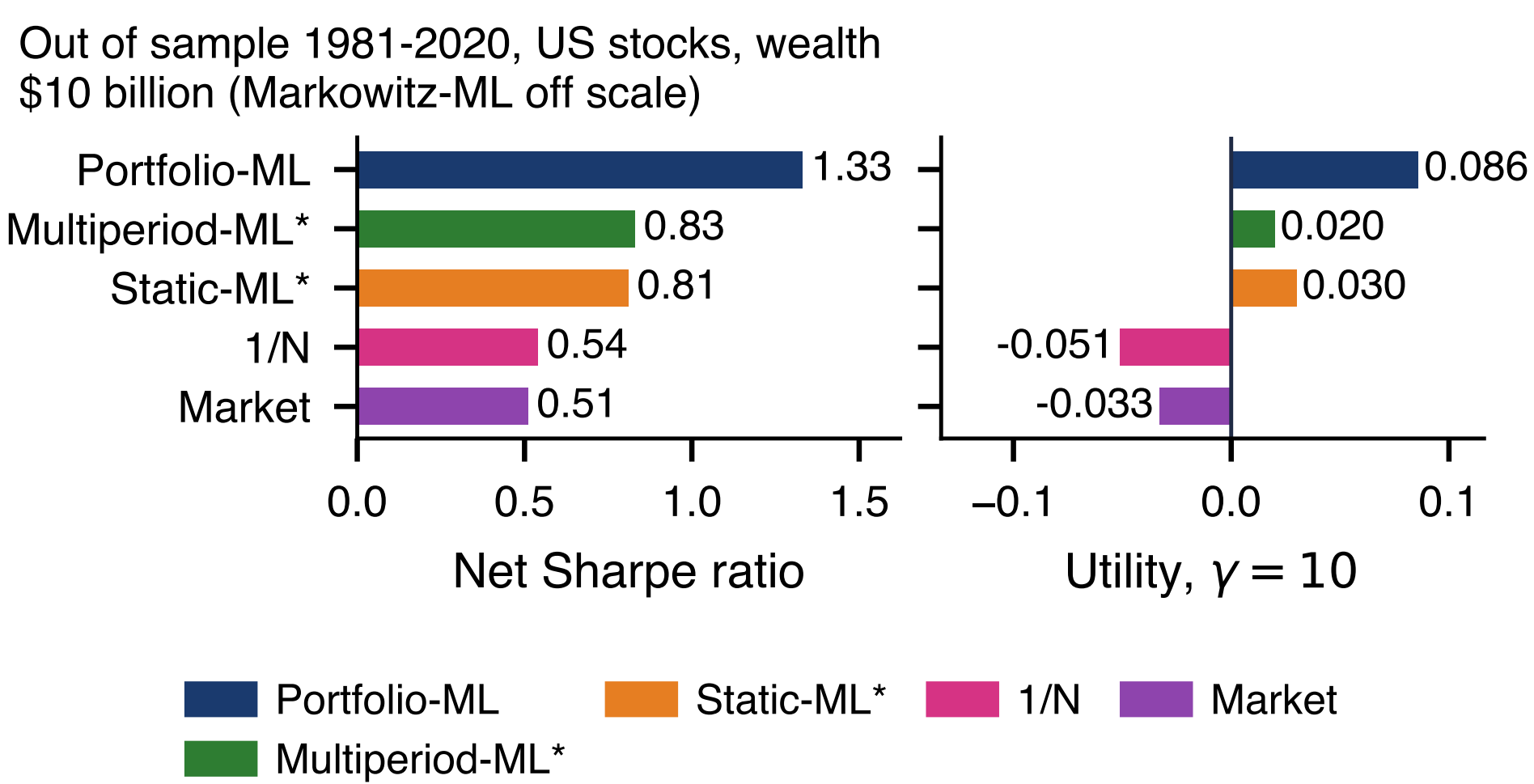
Out of sample 1981-2020, US stocks, wealth
$10 billion (Markowitz-ML off scale)
Portfolio-ML
Multiperiod-ML*
Static-ML*
1/N
Market
1.33
0.83
0.81
0.54
0.51
0.0
0.5
1.0
1.5
Net Sharpe ratio
0.086
0.020
0.030
-0.051
-0.033
–0.1
0.0
0.1
Utility, $\gamma = 10$
Portfolio-ML
Multiperiod-ML*
Static-ML*
1/N
Market